



A SEPARATE LEGAL PERSONALITY

SALOMON V. SALOMON & CO. LTD. (1896)

IN CONTEXT

FOCUS

Company law

BEFORE

1720 The British Bubble Act limits creation of joint-stock companies and leads to the South Sea Company crash.

1855 The Limited Liability Act protects investors of larger companies for the sum they originally invested.

1862 The Companies Act clarifies the duties and rights of incorporated companies and makes the incorporation process easier.

AFTER

c. 1900 The basic principles of limited liability are accepted in much of the West; they remain the foundations of corporate life.

1928 A revised Companies Act seeks to ensure British limited-liability companies are not wound up fraudulently.

In the 19th century, Britain was a leading industrial, financial, and corporate global power. Lawmakers were eager to govern the explosion in economic activity with a just framework for company law. The 1844 and 1856 Joint Stock Companies Acts (see box, right) and the 1862 Companies Act made it progressively easier to form a joint-stock company (one that is owned by shareholders). The Acts consolidated the principle in law of a “separate legal personality” (SLP), where an incorporated business or company had an identity legally

distinct from those who created or financed it; sole proprietors or partnerships did not have this protection. Limited liability, first introduced in 1855, depended on the notion of an SLP and was key to encouraging enterprise, because it removed responsibility from any individual or group that owned or invested in a business for any losses the business incurred.

In 1892, Aron Salomon, a London bootmaker and sole proprietor, formed a new, limited company. His wife and five children held one £1 share each, and he kept 20,001

An incorporated limited company is a **separate legal entity** from those who **own or invest in it**.

Company owners or shareholders are not responsible for losses incurred by the company often **beyond their initial investment**.

Creditors cannot sue company owners or shareholders—only the limited company.